

PROJECT X

XAU/USD Discretionary Trading System Daily Operating Guide

FundingPips \$10,000 Challenge | Manual execution on TradingView | Lab: Python (P0-P13)

LSE v6 Pine HUD + Python lab. Not financial advice. Engineering and measurement only.

Parameter	Value
Account	\$10,000 (FundingPips)
Risk / trade	0.5% = \$50
Daily hard stop	4% = \$400
Total DD limit	10% = \$1,000
Round-trip cost	0.50 pt (modelled every trade)
Min risk	3.0 pt
Target	2R
Max hold	48 bars = 4 hours

1. Morning Routine (Before London Open)

Do these three steps every morning before the London session opens (07:00 UTC). Budget 3-5 minutes.

Step 1 -- Update the data panel (daily, always)

Open a terminal in the project folder (D:\e drive\8th semester\Finance\Project X) and run:

```
cd "D:\e drive\8th semester\Finance\Project X"
```

```
python build_panel.py
```

*Pulls latest FRED data (10Y nominal, 10Y real, USD broad index) and re-merges with broker CSV exports.
Updates daily_panel.csv. Takes ~30 s.*

Step 2 -- Refresh lab scores (daily, or if >24 h since last run)

```
python p1_run.py # macro PCA + session composite
```

```
python p5_p9_run.py # decouple (P5), COT (P6), shock (P7)
```

p0_run.py (HMM regime) only needs to run weekly. Run it on Monday morning or whenever you see 'regime' flagged stale in the brief.

Step 3 -- Read the brief

```
python daily_brief.py
```

```
# Or with live account state:
```

```
python daily_brief.py --pnl -120.50 --balance 9880 --iv 28
```

--pnl = running P&L today in USD (0 if no trades yet) | --balance = account balance if drifted from \$10,000 | --iv = broker overnight margin IV % (check broker platform, NOT CBOE GVZ)

2. Reading the Brief -- What to Actually Look At

STOP immediately if either of these is active:

[4] shows BLACKOUT ACTIVE -- no new entries today

[6] shows RED -- daily loss limit hit, stop trading

Then work through the brief blocks in order:

	Event blackout banner	Bright warning if a scheduled release is live RIGHT NOW.
[1]	Market regime	TREND or RANGE? TREND = LSE_SWEEP + TOKYO_BREAK have extra edge. VOLATILE / NEUTRAL / DRIFT on the ATR axis.
[2]	Composite signals	Macro PCA score + session score + combined. STRONG (≥ 2) = trade. MILD (1) = only best setups. NEUTRAL (0) = wait. WAIT (< 0) = do not trade.
[3]	Contextual filters	Decouple flag (gold/DXY z-score < -1), COT net positioning, fresh-shock flag. Each adds ± 1 to your mental score.
[4]	Event calendar	Next 4 scheduled releases with exact blackout windows (NFP/CPI/PCE/PPI = -15/+60 min; FOMC = all day).
[5]	Risk envelope	Lot table at common stop distances. Use the 'Broker IV $> 30\%$ ' column when $--iv \geq 30$.
[6]	Circuit breaker	YELLOW = strong signals only. RED = stop trading. Resets at midnight broker time.
[7]	Kelly sizer	Parked until you have ≥ 100 trades per regime cell. Ignore until then.
[8]	Session notes	Active session label + hard-rules checklist. Read this before every entry.
[10]	Data freshness	Staleness flags for every panel input. Any STALE flag = re-run build_panel.py + affected runner before trading.

3. At the Session -- Entry Checklist

Open TradingView with the LSE v6 Pine HUD. The brief gives you the daily bias; the HUD gives you the live entry trigger. You need both. Before entering any trade, tick all six mentally:

- Combined score says tradeable (MILD = cautious; STRONG = full conviction)
- HTF Bias on HUD agrees with intended direction
- IB is LOCKED (not BUILDING -- no entries in first 30-60 min of session)
- Bookmap CVD agrees with direction (imbalance on your side)
- 3 or more signals aligned (at least MILD on composite)
- Not inside a blackout window (check [4] in the brief)

**STRONG signal = open position at MILD risk (\$50). MILD signal = reduce to \$25 or skip.
NEUTRAL / WAIT = close TradingView.**

Setup windows:

LSE_SWEEP (07:00-07:59 UTC)	Asian range sweep + reversal during London open hour. Best in TREND regime. P8: invalidated if price reclaims 3+ pts within 4 bars.
TOKYO_BREAK (01:00-08:59 UTC)	2nd consecutive close beyond running Tokyo range. Needs body > ATR threshold. Fixed in v6: uses confirmed prior bar high/low.
DRIFT (Any session, ATR ratio < 0.7)	7-condition micro-structure alignment. Works in RANGE regime. All 7 conditions required.

P9 structural exit (backstop):

If you are in a LONG and price crosses VWAP AND either (a) HTF bias has flipped bearish OR (b) POC is now below VWAP -- exit. Mirror for SHORT. This exits before the 48-bar timeout when structure breaks.

4. After a Trade -- Logging

Log every trade in outputs/journal_template_blank.csv. Required fields:

Field	Value
setup	LSE_SWEEP / TOKYO_BREAK / DRIFT
direction	LONG / SHORT
entry	Fill price in XAU/USD pts
stop	Stop price
target	Target price
exit	Actual exit price
outcome	WIN / LOSS / BE
net_R	gross_R - 0.50 / risk_pts (formula pre-filled in template)

regime	RANGE or TREND at time of entry
session	LONDON / NEW_YORK / TOKYO / OVERNIGHT
notes	Any qualitative notes (optional)

Kelly sizing activates once you have ≥ 100 logged trades per regime cell (RANGE-LONG, RANGE-SHORT, TREND-LONG, TREND-SHORT). Until then the \$50 fixed risk is the rule.

5. Weekly Maintenance (~5 minutes, Monday morning)

```
# Re-fit HMM regime model with latest week of D1 data
```

```
python p0_run.py
```

```
# Re-run signal cleanup (also retries COT download)
```

```
python p5_p9_run.py
```

After running: open `lab/events.py` and add any newly published NFP / CPI / FOMC dates for the next 4 weeks. The EVENTS list at the top of the file takes `Event(date_utc, time_utc, name, category, note)` entries.

If COT download fails (CFTC server timeout): go to [cftc.gov > Market Reports > COT > Disaggregated Futures-Only > View History](https://www.cftc.gov/MarketReports/COT/DisaggregatedFutures-Only/ViewHistory), download the annual CSV for gold (contract code 088691), save as `outputs/cot_gold.csv`.

6. Hard Rules -- No Exceptions

These override every other signal or opinion:

1. **Event blackout** -- no new entries within NFP/CPI/PCE/PPI/FOMC windows (see [4] in brief for exact times).
2. **Broker IV > 30%** -- use half-lot column. This is the broker overnight margin rate, NOT CBOE GVZ.
3. **IB building** -- no entry in first 30-60 min of any session.
4. **3+ confluent signals required** -- below 3, skip the trade.
5. **Correlated exposure** -- XAU + XAG + SHORT USD = one bet. Do not stack all three simultaneously.
6. **Circuit breaker** -- YELLOW = strong signals only; RED = stop trading for the day.
7. **P8 reclaim filter** -- LSE_SWEEP invalidated if price reclaims 3+ pts within 4 bars of entry.
8. **P9 structural VWAP exit** -- exit on VWAP cross + HTF flip OR POC crossing VWAP.
9. **2R target / 48-bar timeout** -- no exceptions; close at bar 48 regardless.

7. What Changed in LSE v6 (vs v5)

Four targeted fixes applied from the P0-P13 Python lab audit:

FIX 1 -- POC no intrabar repaint

POC loop now starts at $i=1$ (confirmed bars only), skipping the still-forming current bar. In v5, the POC could shift intrabar, making live readings unreliable.

FIX 2 -- TOKYO_BREAK actually fires

v5 compared close > liveAsianHigh, but liveAsianHigh already included the current bar's high -- making the condition mathematically impossible to trigger on the break bar. v6 uses asianHighCandidate[1] (previous bar's confirmed value). Expect more TOKYO_BREAK signals in live trading.

FIX 3 -- P8 reclaim filter live

New inputs: Reclaim Window = 4 bars, Reclaim Distance = 3 pts. After a SWEEP entry, if price re-closes through the swept level by 3+ pts within 4 bars, the trade is exited immediately. Protects against false sweeps. Both values are adjustable in inputs.

FIX 4 -- P9 structural VWAP exit

Removed the old bearFlow / bullFlow volume requirement (it was masking valid structural exits). New logic: exit long if close < VWAP AND (HTF bias flipped bearish OR POC < VWAP). Catches structural breakdown without waiting for volume confirmation that often arrives too late.

One-Line Summary

Run `build_panel.py` then `p1_run.py` then `daily_brief.py` every morning. Read the brief top to bottom. If it says WAIT or BLACKOUT, close the charts. If it says STRONG or MILD, open TradingView and wait for LSE v6 to confirm entry. Never enter without both the brief bias AND the HUD trigger aligned.